Phuntsholing by an army corporal. The country was plunged into its most serious political crisis since the establishment of hereditary monarchy in 1907.

The druk gyalpo was rushed home from Switzerland, and with Indian prompting, the plotters were arrested and tried for treason. Some of them were executed, including the chief of army operations, Namgyal Bahadur, who happened to be the druk gyalpo's uncle. Others who had taken part in the plot escaped to Nepal. But that was not the end of the turmoil or the perceived power struggle between pro-Wangchuk loyalists and 'modernist' Dorji supporters. And the main issue may not have been an end to or lessening of the power of the monarchy but 'full freedom from Indian interference'.[32] Whatever the case, Jigme Palden Dorji's successor as prime minister, his brother Lhendup Dorji, was exiled along with members of his family in 1965. The druk gyalpo himself became prime minister and replaced the Dorji allies with more conservative men. His half-brother, Dasho Wangchuk, was made army commander to ensure the loyalty of the military. But the crisis was not over and in July 1965 there was an assassination attempt against the druk gyalpo himself. The Dorji camp was not implicated in the plot, and the would-be assassins were even pardoned by the druk gyalpo.

Even if some Bhutanese may have been dissatisfied with the heavy dependence on India, there was no way Bhutan could go its own way given the country's strategic importance to the Indians, especially after the 1962 War. In fact, in the words of a now declassified CIA report, 'the period after Jigme's assassination offered enhanced opportunities for the expansion of Indian influence'.[33] The same report states that 'India [now] provides Bhutan with military and intelligence training which is specifically aimed at countering Chinese subversion[34]…the Chinese…have some means of exploiting Bhutanese religious differences, particularly through the use of friendly Tibetans'.[35]

Efforts were also stepped up to develop Bhutan's economy and to strengthen the role of the monarchy as the pillar of the nation state. During the reign of the third druk gyalpo, Dzongkha, a dialect related to Tibetan, became the official language and Thimphu was made the sole, year-round capital. Punakha had, until 1955, served as the capital and after that as winter capital, while Thimphu, higher up in the mountains, was the summer